INCOME TAXES

You'll maintain your U.S. citizenship abroad even if you officially become an overseas resident. U.S. citizenship is your ticket back to the United States when you want to return for a few days or a few years. But the United States is the only major country in the world that taxes all of its citizens' income, regardless of where those citizens live or the source of that income. You can live forty years in the south of France without returning to the United States. You can earn in francs, invest all your money in France, and forget how to speak English. But if you happen to be a U.S. citizen, after all that time you may still have to file annual U.S. tax returns.

Other countries have a territorial concept in their tax laws. Those countries let their citizens move away and forget about paying taxes "back home." Many countries don't pretend to tax their residents on interest income earned abroad. Not so in the United States. Uncle Sam spends most of your money to prepare for war or pay for past wars. The theory is that you benefit from that effort no matter where you live. If you benefit, you ought to pay.

Certain provisions in the U.S. tax law ease the burden. For example, in 1986 overseas residents could exclude $80,000 of income earned abroad. But those rules are for people who live, work, and earn abroad. They don't apply to a 40-year-old retiree whose only income is interest on CDs back in the United States. *Your* U.S. income tax return will look the same whether you live in Monterey, California, or Monterrey, Mexico. You'll have interest income, personal exemptions, the standard deduction, and tax due.

The good news is that most foreign countries will *not* tax your U.S. interest income. Even if you become a resident of the host country, you'll have no taxable income and should never have to file a tax return there. However, tax laws vary throughout the world, so you should check with a local